PRA Glossary - M

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major business unit

means:(1) in relation to afirm, a defined segment of thefirmthat operates independently from other parts of thefirmand has dedicated governance resources and procedures within thefirmand which contains risks that are material in relation to the entire business of thefirm; and(2)in relation to agroup, a defined segment of thegroupthat operates independently from other parts of thegroupand has dedicated governance resources and procedures within thegroupand which contains risks that are material in relation to the entire business of thegroup.

making arrangements with a view to transactions in investments

means theregulated activity, specified in article 25(2) of theRegulated Activities Order(Arranging deals in investments).

management body

means afirm'sbody or bodies, which are appointed in accordance with national law, which are empowered to set thefirm'sstrategy, objectives and overall direction, and which oversee and monitor management decision-making, and include thepersonswho effectively direct the business of thefirm.

management expenses

means all expenses, other than commission, incurred in the administration of afirmor its business.

management responsibilities map

has the meaning given inAllocation of Responsibilities 6.

managing a UCITS

means theregulated activity, specified in article 51ZA of theRegulated Activities Order(Managing a UCITS).

managing agent

has the meaning given in article 3(1) of theRegulated Activities Order.

managing an AIF

means theregulated activity, specified in article 51ZC of theRegulated Activities Order(Managing an AIF).

managing investments

means theregulated activity, specified in article 37 of theRegulated Activities Order(Managing investments).

mandatory disclosure

means an obligation in any applicable laws, regulations or rules to declare or disclose information to the public.

margin of solvency

means the excess of the value of thefriendly society'sassets over the amount of its liabilities, that value and amount being determined in accordance withFriendly Society - Asset Valuation,Friendly Society - Liability ValuationandFriendly Society - Overall Resources and Guarantee Fund 8.

market risk

(1) (except in theSolvency II FirmsandNon-Solvency II FirmsSectors of thePRARulebook) means the risk that arises from fluctuations in values of, or income from assets, or in interest or exchange rates.(2) (in theSolvency II FirmsandNon-Solvency II FirmsSectors of thePRARulebook) means the risk of loss or of adverse change in the financial situation resulting, directly or indirectly, from fluctuations in the level and in the volatility of market prices of assets, liabilities and financial instruments.[Note: Art. 13(31) of theSolvency II Directive]

market value

means the market value as determined in accordance with generally accepted accounting practice.

matching adjustment

means the adjustment to therelevant risk-free interest rate term structureto calculate thebest estimateof arelevant portfolio of insurance or reinsurance obligationsin accordance with:(1) theMatching Adjustment Part; and(2) deleted deleted relevant technical information published by thePRAin accordance with regulation 3(1) of theIRPR regulations.

matching adjustment eligibility conditions

means:(1) the conditions contained in regulation 4(3) to (9) and (11) of theIRPR regulations; and(2) the conditions contained in2.2to2.4(inclusive) of theMatching Adjustment Part.

matching adjustment permission

means the permission granted to afirmby thePRApursuant to section 138BA ofFSMAto apply amatching adjustmentfor the purposes of calculating thebest estimatein relation to arelevant portfolio of insurance or reinsurance obligations.

matching adjustment permission application

means an application by afirmfor amatching adjustment permission.

matching adjustment portfolio

means arelevant portfolio of insurance or reinsurance obligationsand the correspondingrelevant portfolio of assets.

material outsourcing

meansoutsourcingservices of such importance that weakness, or failure, of the services would cast serious doubt upon thefirm'scontinuing satisfaction of thethreshold conditionsor compliance with theFundamental Rules.

material risk taker

means anemployee(within the meaning in section 63E(9) ofFSMA(certification of employees by authorised persons)) of afirmwhose professional activities have a material impact on thefirm'srisk profile.

material step-in entity

means astep-in entityother than animmaterial step-in entity.

mathematical reserves

the provision made by aninsurerto cover liabilities (excluding liabilities which have fallen due and liabilities arising fromdeposit back arrangements) arising under or in connection withcontracts of long-term insurance.

MCR

means the minimum capital requirement (which is calibrated to the value-at-risk of afirm'sbasic own fundssubject to a confidence level of 85% over a one-year period) calculated in accordance with theMinimum Capital RequirementPart.

medical expense insurance obligation

means an insurance obligation that covers the provision or financial compensation referred to in (1) of the definition ofhealth insurance obligation.

medical expense reinsurance obligation

means areinsuranceobligation which arises from acceptedreinsurancecoveringmedical expense insurance obligations.

member

means apersonadmitted to membership of theSocietyor anypersonby law entitled or bound to administer its affairs.

method 1

means the method for calculating group solvency described inGroup Supervision 11.1.

method 2

means the method for calculating group solvency described inGroup Supervision 11.2.

MiFID business

meansinvestment services and activitiesand, where relevant,ancillary servicescarried on by aMiFID investment firm.

MiFID II

means Directive 2014/65/EU of the European Parliament and of the Council of 15 May 2014 on markets in financial instruments and amending Directive 2002/92/EC and Directive 2011/61/EU (recast).

MiFID investment firm

The changes to this defined term are effective from 23:00 on 31/12/2020.has the meaning given in paragraph 2.1A ofMiFIR.

MiFIR

means Regulation (EU) No 600/2014 of the European Parliament and of the Council of 15 May 2014 on markets in financial instruments and amending Regulation (EU) No 648/2012.

minimum guarantee fund

means an amount calculated in accordance withFriendly Society - Overall Resources and Guarantee Fund 6forlong-term insurance businessandFriendly Society - Overall Resources and Guarantee Fund 7forgeneral insurance business, whether therequired margin of solvencyis greater or less than that amount.

mixed financial holding company

The changes to this defined term are effective from 23:00 on 31/12/2020.means aparent undertakingother than a regulated entity, which together with itssubsidiaries, at least one of which is a regulated entity which has its head office in theUK, and other entities constitutes afinancial conglomerate.[Note: Art. 212(1)(h) of theSolvency II Directive]

mixed-activity holding company

has the meaning given in point (22) of Article 4(1) of theCRR.

model limitation adjustment

means, in respect of afirmorgroupwhere part or all of itsSCR(orgroup SCR, as appropriate) is calculated using aninternal model, a capital adjustment calibrated and applied in theinternal modelwhich contributes to the calculation of itsSCR(orgroup SCR, as appropriate), and that is intended to ensure that it complies withSolvency Capital Requirement - General Provisions 3.3and3.4, whether directly or by application ofGroup Supervision 11.2.

money

means any form of money, including cheques and other payable orders.

money-market instruments

means those classes offinancial instrumentswhich are normally dealt in on the money market, such as treasury bills, certificates of deposit and commercial papers and excluding instruments of payment.[Note: article 4(1)(19) of MiFID]

month

This term is defined externally, please refer to:Schedule 1, Interpretation Act 1978

mortality risk

means the risk of loss, or of adverse change, in the value of insurance obligations, resulting from changes in the level, trend or volatility of mortality rates, where an increase in the mortality rate leads to an increase in the value of insurance obligations.

mortgage insurance

means credit insurance that provides cover to lenders in case their mortgage loans default.

motor vehicle liability

means theclassofcontract of insurance, specified in paragraph 10 of Part I of Schedule 1 to theRegulated Activities Order.

MTF

The changes to this defined term are effective from 23:00 on 31/12/2020.means a multilateral system, operated by aninvestment firmor a market operator, which brings together multiple third-party buying and selling interests in financial instruments - in the system and in accordance with non-discretionary rules - in a way that results in a contract in accordance with provisions implementing Title II ofMiFID II.

mutual

means aninsurerwhich:(1) if it is abody corporatehas no share capital (except a wholly owned subsidiary with no share capital but limited by guarantee); or(2) is afriendly society; or(3) is a society registered or deemed to be registered under Co-operative and Community Benefit Societies Act 2014 or the Industrial and Provident Societies (Northern Ireland) Act 1969.

mutual society

This term is defined externally, please refer to:Section 138K(5) of the Financial Services and Markets Act 2000

mutual-type group

The changes to this defined term are effective from 23:00 on 31/12/2020.means a group ofundertakingsthat is based on the establishment, contractually or otherwise, of strong and sustainable financial relationships among thoseundertakings, and that may include mutual or mutual-type associations, provided that:(1) one of thoseundertakingseffectively exercises, through centralised coordination, a dominant influence over the decisions, including financial decisions, of the otherundertakingsthat are part of the group ofundertakings; and(2) the establishment and dissolution of such relationships are subject to prior approval by thePRA,where theundertakingexercising the centralised coordination shall be considered as theparent undertaking, and the otherundertakingsshall be considered assubsidiary undertakings.[Note: Art. 212(1)(c)(ii) of theSolvency II Directive]